Morgan Stanley | RESEARCH

IDEA

July 24, 2026 12:35 PM GMT

PayPal Holdings, Inc. | North America

2Q26 Preview: At a Crossroads; Waiting for a Signal

We expect investors to primarily be focused on any mgmt commentary that can shed light on strategic optionality or appetite for a potential takeout amid the reported Stripe bid. Branded Checkout may post~1-2% growth as core button weakness is offset by Venmo, likely helped by rewards.

Management language around strategic options will matters most on 2Q print. Ahead of PYPL's 7/28 print, we think investors will be looking for any management commentary that can shed light on new CEO, Enrique Lores, and the PayPal board's views on potentially selling all or parts of PayPal vs. doubling down on a turnaround story as a standalone entity. **We believe the reported Stripe/Advent proposal, if confirmed, would provide the most credible path to value realization amid limited strategic optionality for the standalone company** given intense wallet competition, significant tech debt, mix-shift toward lower-value processing economics, and a maturing customer base across PayPal and Venmo. While PayPal management can continue to pursue cost efficiencies and product improvements, we don't see other realistic catalysts capable of driving a sustained reacceleration in revenue and earnings growth. It has been reported in the Tech Times that the PayPal board has rejected the bid and is looking for a higher price, though that has not been confirmed by either party. The original reported bid of $60.50 would have valued PayPal at approximately 10x cons '27 Adj. EPS and 11.5x our '27 Adj. EPS estimate (our forecasts are unchanged, and remain below Street). We have been hearing from investors that they would view that as a favorable outcome, particularly against processor peer valuations of FISV and GPN trading at 5x '27 Adj. EPS despite ~MSD revenue growth and double-digit EPS growth algos.

A reported Stripe bid for Open Router may increase uncertainty among investors that a deal with PayPal has a path forward. The WSJ reported that Stripe is in talks to buy multi-model API gateway platform, OpenRouter (unconfirmed). There is some perception among investors that Stripe may be price-sensitive for PYPL (and unwilling to raise its reported bid, if true). In our view, we think that there is likely significant code reworking that would to be done within the PayPal code base for Stripe to get the most leverage (it took PayPal ~13 years to allow Venmo to directly send money to a PayPal account). Following XYZ's lead on AI-related innovation and development, OpenRouter could be a tool chest for Stripe to rebuilding its code base without having to buy PayPal.

Ecomm trends point to a slightly better spend environment. PayPal management pointed to persistent Branded Checkout underperformance vs. broader eComm mid-qtr, calling out that it had continued to see weakness in the travel space as well as broader slowing in Europe. In late May, 2Q Branded Checkout was tracking to the low-end of the outlook for ~1-3%. Meanwhile, US non-store retail sales data showed

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PayPal Holdings, Inc. (PYPL.O, PYPL US)

Payments and Processing | United States of America

Stock Rating	**Underweight**
Industry View	**Attractive**
Price target	**$34.00**
Shr price, close (Jul 23, 2026)	$56.00
Mkt cap, curr (mm)	$46,615
52-Week Range	$79.50-38.46

Fiscal Year Ending	**12/25**	**12/26e**	**12/27e**	**12/28e**
ModelWare EPS ($)	6.25	6.14	6.35	6.46
Prior EPS ($)**	-	-	-	-
P/E	9.3	9.1	8.8	8.7
EPS ($)§	5.36	5.31	5.76	6.26
Div yld (%)	0.0	0.7	0.9	1.0
EPS ($)**	5.31	5.21	5.27	5.32

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

a slight acceleration in April/May to +11% (vs. +10% in 1Q), with June showing a meaningful acceleration to +18% (though that was likely impacted by Amazon Prime Day timing).

We think investors are looking for modestly improved Pay with Venmo checkout growth to offset weakness in the core Branded checkout button, likely resulting in ~1-2% online Branded Checkout growth for 2Q (vs. +1% for 1Q). Still, we're skeptical about the durability of any acceleration in Venmo checkout growth as: **1)** we think it would be primarily driven by short-term rewards, which we view as less durable once those incentives are removed (management expects rewards and incentives to be a 3 ppt headwind to Transaction Margin Dollar growth this year); and **2)** we continue to see high churn among Venmo merchants in our Acceptance tracker, suggesting the button isn't driving meaningful improvement in conversion (more details below). Meanwhile, adding new merchants likely helps near term, while losing merchant acceptance has little negative drag, as we think if those merchants were seeing Venmo-driven volume, they wouldn't be removing the option.

Challenges difficult to overcome under any standalone operating model; would certainly require accelerated investment and execution instead of capital return. We appreciate that PayPal's recent business reorganization/resegmentation of products and services should allow for increased focus on new leadership as well as greater accountability. However, we continue to think that the challenges facing PayPal across its Branded, Venmo, and Braintree/PSP businesses will be very difficult to overcome, and will require more than just sharpened focus, but likely also significantly accelerated investment, which we have yet to see management signal willingness to do. The FY26 outlook currently calls for a fourth straight year of nearly ~100% FCF toward buybacks. Given accelerating market share loss and increasing risk of Branded growth going negative, we believe the standalone company would have to reallocate capital toward rapidly accelerating the Branded Checkout modernization effort, integrating with hardware wallets like Apple Pay, expanding Venmo acceptance, and readying the platform for agentic commerce, even if that means delivering negative EPS growth for a couple of years. This is particularly the case given faster-growing rivals such as SHOP and ADYEN are expected to see meaningful profitability improvement that is enhancing their ability to win share from PayPal, while Apple Pay's seamless hardware integration remains a persistent checkout threat.

Acceptance Tracker: **Venmo (PYPL) saw just one net add in 2Q, as gross churn continued to increase, indicating the button isn't driving conversion at merchants.** Venmo added 8 and lost 7 merchants in 2Q, bringing Venmo's total to 89 merchants and keeping its acceptance share at 19% by count (unchanged from 1Q25) and 8% by volume ex-Amazon (also unchanged). As a reminder, 1Q26 marked the first time we tracked higher merchant removals vs. additions for Venmo, with the Venmo button losing 1 net merchant in 1Q (added 4 and lost 5). We have previously called out Venmo's relatively high levels of gross merchant churn, which returned to higher levels at 5.6% in 1Q and now 8% in 2Q, the highest among wallets we track. We think the relatively high churn, especially vs. PayPal (historically below 0.5% churn on a large base) could suggest that the Venmo button isn't driving meaningful improvement in checkout conversion on websites, leading retailers to remove the option shortly after adding it. We believe merchants tend to clean up their checkout pages of a payment option when it is not driving at least ~5% of volume. The average tenure of Venmo on the 17 merchants that have uninstalled it at some point since 1Q25 is about 4.5 quarters (according to our tracker data).

Acceptance Tracker: PayPal maintains steady acceptance share lead; still watching gross attrition trends as Shop Pay takes the lead as the digital wallet with the lowest churn rate in 2Q. PayPal added 1 net merchant (added 2 and lost 1) in 2Q, and still maintains an acceptance share lead at 84% by count (unchanged) and 87% by volume ex-Amazon (down from 88% in 1Q). While 2Q's gross attrition of 1 merchant is in line with PayPal's historically low rate, we highlight that, in recent quarters, we've noticed slightly more variable and higher rates of churn, with 1Q's 0.76% attrition rate higher than 4Q/3Q's 0.25%, and more in line with the elevated 0.51% rate in 2Q25 and 0.76% rate in 1Q25. The 2-year average gross attrition rate now stands at 0.51%, up from 0.38% in the 1Q22-4Q23 period. While overall attrition remains low under 1%, we will continue monitoring this metric as PayPal has historically had very low attrition that's remained well below industry peers, which had been an indication to us that it's still driving at least satisfactory conversion on merchant checkout pages. In fact, Shop Pay's attrition is now averaging below PayPal's for the first time after three quarters of zero merchant losses. Its 2-year average gross churn rate now stands at 0.4%, and we think this is indicative that, even though Shop Pay has a smaller presence online (19% by count), its interface is driving conversion at checkout and supporting merchant stickiness. In comparison, the next leading digital wallets see higher rates of churn including Amazon Pay (2.4% two-year average gross attrition rate) and Google Pay (0.9%), though attrition has been consistently trending down for those players.

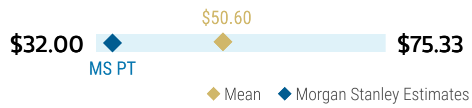
Risk Reward – PayPal Holdings, Inc. (PYPL.O)

Branded Share Loss & Reduced Profitability Pressure EPS

PRICE TARGET $34.00

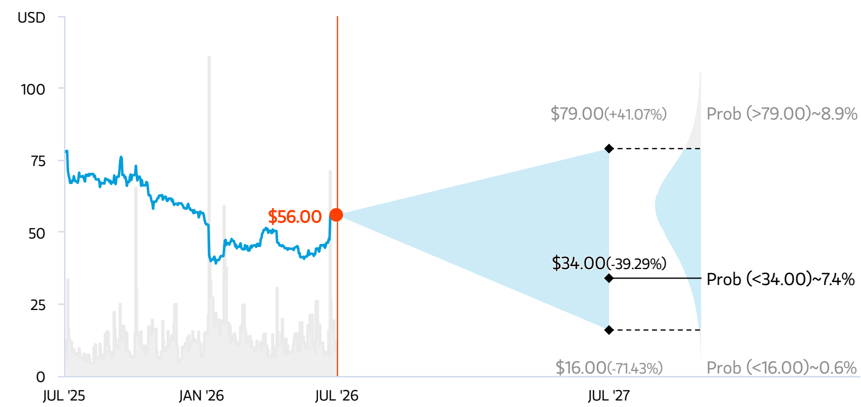
Our PT is based on a ~7x multiple on our SBC-burdened CY27 EPS estimate. We think such a P/E valuation makes sense as it's in-line to slightly above most payment processing peers on a growth adjusted basis on our below-Street forecasts.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



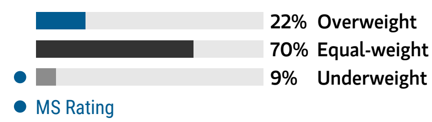
Key: Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 23 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

UNDERWEIGHT THESIS

We think PayPal moved too slowly on improving Branded Checkout integrations, and expect the process to continue to be slow and complex. In the meantime, we anticipate Branded deceleration and price pressure on share loss, while Venmo monetization will be limited and agentic commerce will be a growing overhang on the stock. We look for faster than expected opex growth as PayPal spends on marketing/rewards and tech upgrade initiatives to retain volumes. Buybacks can support high-single-digit EPS growth, but we anticipate multiple compression on the back of downward revisions and worse sentiment.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*
Pricing Power: *Negative*

View descriptions of Risk Rewards Themes here

BULL CASE $79.00

12x Bull Case '27 Adj. EPS

Strong secular growth from ecomm, and acceleration in key strategic initiatives: Revenues grow faster on better ecomm while Branded checkout friction reduces, partners update their back-end PayPal integrations, and Venmo checkout gains traction. Adj. EPS grows ~MSD-HSD.

BASE CASE $34.00

6.5x Base Case '27 SBC Burdened Adj. EPS

PayPal grows below the market on gradual share loss and take rate compression. Transaction margin dollar growth is flat to slightly up LSD, while margins compress modestly as PayPal needs to spend on marketing and R&D to slow merchant and consumer churn. Buybacks support flat-LSD EPS growth.

BEAR CASE $16.00

4.5x Bear Case '27 Adj. EPS

Slow macro environment affects ecomm and faster share loss in Braded. PayPal grows slower on macro headwinds and eCommerce slowdown, while Branded sees faster share donation and worsening price pressure. Margins compress with adj. EPS declining y/y in '26.

Risk Reward – PayPal Holdings, Inc. (PYPL.O)

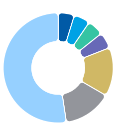
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total TPV YoY Growth (%)	6.7	5.5	6.5	6.6
Transaction Revenue Take Rate (%)	1.7	1.6	1.6	1.6
Total Gross Profit YoY Growth (%)	5.5	(2.2)	0.4	1.2
Adj. Operating Margin (SBC Unburdened) (%)	19.2	16.8	15.0	14.3
Adj. EPS (SBC unburdened) YoY Growth (%)	14.1	(1.8)	1.1	1.0

INVESTMENT DRIVERS

- Overall eCommerce growth (ex-Amazon)
- Merchant acceptance lead in US and internationally
- Partnerships drive greater consumer adoption and usage
- Merchant acquiring/processing wins

GLOBAL REVENUE EXPOSURE



- 0-10% APAC, ex Japan, Mainland China and India
- 0-10% India
- 0-10% Latin America
- 0-10% Mainland China
- 10-20% Europe ex UK
- 10-20% UK
- 50-60% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

1/5 **BEST**	24 Month Horizon	3/5 **MOST**	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

Faster than expected ecommerce growth
Quicker enabling by PayPal partners and merchants of the most advanced PayPal Checkout integrations,
Faster expansion and usage of Venmo checkout across large online m

RISKS TO DOWNSIDE

Slowdown of eCommerce growth (ex-Amazon)
Competition in Branded and Braintree result in further volume deceleration and price pressure
Margins compress faster on opex needs

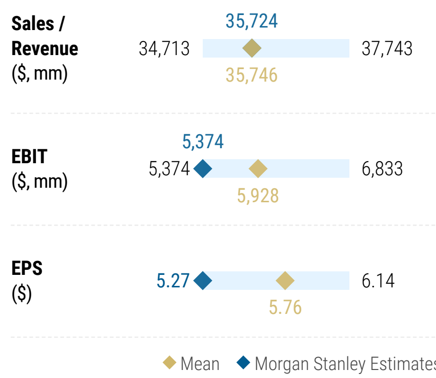
OWNERSHIP POSITIONING

Inst. Owners, % Active	40.8%
HF Sector Long/Short Ratio	1.4x
HF Sector Net Exposure	7.5%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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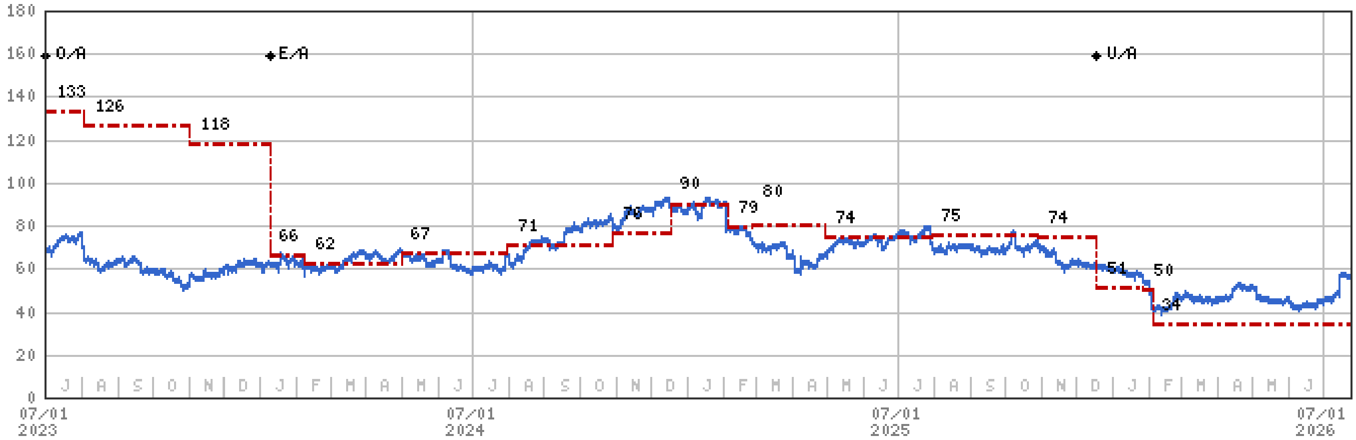
Stock Price, Price Target and Rating History (See Rating Definitions)

PayPal Holdings, Inc. (PYPL.O) - As of 07/24/26 GMT in USD
Industry : Payments and Processing



Stock Rating History: 7/1/21 : O/A; 1/9/24 : E/A; 12/18/25 : U/A

Price Target History: 5/6/21 : 337; 7/29/21 : 340; 11/9/21 : 265; 1/20/22 : 217; 2/2/22 : 190; 4/28/22 : 139; 5/10/22 : 137; 6/2/22 : 129; 8/3/22 : 134; 10/28/22 : 135; 11/4/22 : 136; 2/6/23 : 133; 8/3/23 : 126; 11/2/23 : 118; 1/9/24 : 66; 2/8/24 : 62; 5/1/24 : 67; 7/31/24 : 71; 10/30/24 : 76; 12/18/24 : 90; 2/5/25 : 79; 2/26/25 : 80; 4/30/25 : 74; 7/30/25 : 75; 10/29/25 : 74; 12/18/25 : 51; 1/28/26 : 50; 2/4/26 : 34

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Payments and Processing

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/23/2026)
James E Faucette		
Affirm Holdings Inc (AFRM.O)	E (06/25/2026)	$71.21
Automatic Data Processing Inc (ADP.O)	E (02/25/2021)	$242.88
Block, Inc (XYZ.N)	O (02/27/2026)	$76.49
Broadridge Financial Solutions Inc. (BR.N)	E (12/14/2022)	$144.40
Chime Financial Inc (CHYM.O)	O (07/07/2025)	$20.76
Circle Internet Group Inc. (CRCL.N)	E (02/02/2026)	$62.18
Evertec Inc (EVTC.N)	E (11/21/2024)	$29.08
Fidelity National Information Services (FIS.N)	E (07/07/2026)	$40.04
Fiserv Inc. (FISV.O)	E (10/30/2025)	$49.97
Galaxy Digital Inc. (GLXY.O)	O (11/06/2025)	$24.32
Global-e Online Ltd. (GLBE.O)	O (03/26/2025)	$34.50
Global Payments Inc (GPN.N)	O (07/20/2026)	$77.86
Jack Henry & Associates, Inc. (JKHY.O)	E (06/15/2022)	$148.23
Klarna Group Plc (KLAR.N)	E (10/06/2025)	$17.58
MasterCard Inc (MA.N)	O (03/28/2016)	$530.29
Paychex Inc (PAYX.O)	E (02/25/2021)	$110.66
PayPal Holdings, Inc. (PYPL.O)	U (12/18/2025)	$56.00
Shift4 Payments Inc. (FOUR.N)	E (08/25/2023)	$46.33
SS&C Technologies Holdings, Inc. (SSNC.O)	E (10/28/2019)	$66.95
Upstart Holdings, Inc. (UPST.O)	E (02/14/2025)	$27.59
Verra Mobility Corp (VRRM.O)	E (05/26/2021)	$3.90
Visa Inc. (V.N)	O (03/28/2016)	$351.60
Western Union Co (WU.N)	U (02/02/2015)	$8.31
Michael N Infante		
Corpay Inc (CPAY.N)	O (01/26/2026)	$364.80
Flywire Corp (FLYW.O)	O (03/02/2026)	$16.13
Marqeta, Inc. (MQ.O)	E (02/25/2026)	$16.73

nCino, Inc. (NCNO.O)	O (09/10/2025)	$16.22
NerdWallet Inc. (NRDS.O)	U (03/13/2026)	$8.71
Q2 Holdings Inc (QTWO.N)	E (08/10/2020)	$52.88
WEX Inc (WEX.N)	E (02/25/2021)	$171.47

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* Historical prices are not split adjusted.